

# CHURN ANALYSIS: EXECUTIVE BRIEFING FOR SAAS LEADERSHIP

## Current Situation

Overall churn rate is 26.5 percent. Industry benchmark for SaaS is 15 to 25 percent. This means you are losing one in four customers annually. For every one thousand customers, you are losing approximately two hundred forty thousand dollars in annual recurring revenue.

## Key Retention Drivers

### What Keeps Customers

#### Contract Length is Your Number One Lever

Two year contract customers have a churn rate of only 2.8 percent. One year contract customers have a churn rate of 11.3 percent. Month to month customers have a churn rate of 43.1 percent.

The truth is simple. Customers who commit annually stay four times longer. There is no exception to this pattern.

#### Auto Pay Adoption

Auto pay customers churn at approximately 16 percent. Manual payment customers churn at approximately 32 percent. Auto pay customers do not think about canceling. Manual payers get reminded every month when they must take action.

#### Security and Tech Support Adoption

Customers with both security and tech support services churn at approximately 25 percent. Customers with neither service churn at 48.8 percent. Customers who do not adopt security features are nearly twice as likely to leave.

## Customer Tenure

Customers in their first zero to three months churn at 58.5 percent. Customers in months four to twelve churn at approximately 46 percent. Customers in months thirteen to twenty four churn at approximately 42 percent. Customers beyond twenty five months churn at approximately 35 percent.

The truth is clear. Survive six months and you have likely kept them for years.

## Churn Reasons

### Why Customers Leave

#### No Contractual Commitment

Fifty five percent of your customers are on month to month contracts. They can leave anytime with zero friction. There is no financial or psychological barrier. A bad week, a competitor email, or simple laziness results in lost customers.

The fix is to make annual contract the default option. Month to month should be the premium choice at a twenty percent higher price. Offer cancel anytime but with thirty days notice to create healthy friction.

#### Poor First Thirty Days Experience

Sixty two percent of all churn happens in month zero to one. This is not product failure. This is onboarding failure.

Customers leave because they did not set up properly. They did not see value quickly. They felt unsupported. Technical issues went unresolved.

The fix requires a structured onboarding program. Day one needs a welcome call, not just an email. Day three needs setup verification. Day seven needs a feature tutorial focused on one aha moment. Day fourteen needs a health check with NPS survey. Day twenty five needs a renewal conversation.

## **Painful Payment Experience**

Electronic check payers churn at 45 percent. This is three times higher than auto pay customers. Manual payment is a chore. Late fees create negative emotion. There is no automatic fallback when payment fails.

The fix requires a five to ten dollar monthly discount for auto pay. Add a two percent surcharge for electronic check. Launch a set it and forget it campaign.

## **Fiber Optic Service Issues**

Month to month fiber optic customers churn at 54.5 percent. They pay a premium price without perceived premium value. There are likely technical issues with speed and reliability. DSL customers are actually happier with their service.

The fix requires running technical diagnostics on the fiber segment. Compare actual speeds against advertised speeds. Send proactive outreach saying we noticed your connection and let us fix it.

## **Low Feature Adoption for Security**

Customers without security or tech support churn at 48.8 percent. They do not know these features exist. They see the service as just connectivity, a commodity. There is no stickiness or switching cost.

The fix requires bundling security for free with annual contracts. Offer a thirty day free trial of security features. Use in app education that asks did you know you are unprotected.

## **Immediate Action Plan for Next Thirty Days**

### **Priority Zero Actions**

Launch annual contract incentive with a 15 percent discount. This is expected to reduce churn by eight to ten percent.

Launch First Thirty Days automated onboarding sequence. This is expected to reduce churn by fifteen to twenty percent.

#### Priority One Actions

Launch auto pay campaign with five dollar credit incentive. This is expected to reduce churn by five to seven percent.

Launch security feature free trial for high risk customers. This is expected to reduce churn by three to five percent.

#### Priority Two Actions

Conduct fiber optic quality audit with proactive fixes. This is expected to reduce churn by two to four percent.

## The One Page Strategy

Primary Target is month to month customers with 43 percent churn. Offer annual upgrade with two months free. Results show four times retention improvement.

Secondary Target is new customers with 58 percent churn in month one. Implement thirty day onboarding program. Results show fifty percent reduction in early churn.

Tertiary Target is manual payers with 32 percent average churn. Offer auto pay discount and electronic check surcharge. Results show fifty percent conversion to auto pay.

The metric to watch is month to month to annual conversion rate. The north star metric is customer lifetime value currently averaging eighteen hundred dollars.

## Financial Reality Check

Current churn rate is 26.5 percent. Target for twelve months is 18 percent. The improvement of 8.5 percent is achievable.

Current customer lifetime value is eighteen hundred dollars. Target is twenty six hundred fifty dollars. The gain of eight hundred fifty dollars per customer is significant.

For a business with ten thousand customers, current annual revenue is approximately eight point nine million dollars. Target annual revenue is ten point four million dollars. The gain is one point five million dollars.

The question is not whether you can afford to fix churn. The question is whether you can afford not to fix it.

## **Bottom Line**

Your retention problem is not complicated. It is contractual.

Month to month contracts plus poor onboarding plus manual payment equals two thirds of your total churn.

Fix these three things and you cut churn in half. Everything else is optimization.